

(S E R V E D)
(February 19, 2002)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

February 19, 2002

DOCKET NO. 99-24

CARGO ONE, INC.

v.

COSCO CONTAINER LINES COMPANY, LTD.

SUPPLEMENTAL ORDER APPROVING SETTLEMENT

On February 12, 2002, an order was served granting a voluntary dismissal of the complaint without prejudice upon motion of complainant and respondent. That action was taken before word was received from intervenor, the Bureau of Enforcement ("BOE"), that the parties had entered into a settlement agreement which had not been filed. Complainant and respondent have now filed the settlement agreement, pursuant to which respondent will pay complainant \$21,000, with a supplementary filing requesting its approval. It is also noticed that the parties sought and still seek dismissal of the complaint with prejudice. This supplemental order will so provide.

The factual background to this controversy was explained in the February 12 order. In view of all the circumstances in this proceeding, which prompted securing the assistance of the Commission's Alternative Dispute Resolution Specialist, Mr. Ronald D. Murphy, and the Commission's policy of promoting settlements wherever possible, the parties, after numerous negotiations, have reached an arms-length settlement of their dispute. BOE supports dismissal of this proceeding based upon the submission of the Settlement Agreement.

In reaching the settlement, the parties considered all of the factors involved, including the disputes between the parties on various questions of law and fact, the amounts of the claims, the costs associated with litigating the issues of this proceeding, and the uncertain nature of success. The parties request approval of the terms and provisions of the Settlement Agreement that is being presented in order to facilitate the process and terminate this proceeding.

The parties believe the settlement to be fair, adequate, and reasonable. They assure that it is not the product of collusion among the parties. The Commission examines settlement agreements carefully, especially where the controversy involves rate matters. This is to insure that there is no collusion and that the parties adhere to all regulatory requirements. *Organic Chemicals (Glidden-Durkee) Corp. v. Atlanttrafik Express Service*, 18 S.R.R. 1536a, 1539-40 (1979) (In cases involving rate disputes the Commission must be assured that the settlement is "a bona fide attempt by the parties to terminate their controversy and not a device to obtain transportation at other than the applicable rates and charges. . . ."); and cases cited in *Old Ben Coal Co., infra*, 21 F.M.C. 513-518.

Prior precedents have held that a settlement should not be rejected by a court if it would produce immediate benefits. See *International Ass'n of NVOCC's v. Atlantic Container Line*, 25 S.R.R. 1607 (I.D. 1991), citing *Cotton v. Hinton*, 559 F.2d 1326, 1330 (5th Cir. 1977). See also *Pennsylvania Gas and Water v. Federal Power Comm'n*, 463 F.2d 1242, 1247 (D.C. Cir. 1972).

It is well settled that the Commission strongly favors settlements that "result in a saving of time for the parties, the lawyers, and the courts and it is thus advantageous to judicial administration." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085, 1092 (I.D. 1978), administratively final, November 29, 1978, 21 F.M.C. 505; see also *Ellenville Handle Works v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (I.D. 1981), administratively final February 25, 1981. Rule 91 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.91, codifies the *Old Ben Coal* holding in language borrowed in part from the Administrative Procedure Act, in particular, 5 U.S.C. § 554(c)(1), which requires agencies to give interested parties an opportunity, *inter alia*, to submit offers of settlement "when time, the nature of the proceeding, and the public interest permits." In accordance with Rule 91 and its policy favoring settlements, the Commission has approved the settlement of administrative proceedings when there has been no admission or finding of liability or violations of the Shipping Act.

Both parties have weighed the strength of their respective cases against the risks and costs of continued litigation and have concluded that, based on the uncertainty of the underlying issues, it is in both their interests to avoid further expensive litigation. In accordance with the policy of the law and the Commission, the settlement is presumed to be fair and reasonable and it will be approved.

Based on the foregoing, the parties respectfully request that the Presiding Officer approve the attached Settlement Agreement and Mutual Release. The parties also request that a supplemental order be issued referencing approval of the terms in the attached Settlement Agreement and Mutual Release upon which dismissal of the complaint was granted. The February 12 order erroneously dismissed the complaint without prejudice. The Settlement Agreement and Mutual Release and the

prior motion both request dismissal of the complaint with prejudice and thus the prior order will accordingly be modified so as to dismiss the complaint with prejudice.

IT IS ORDERED:

The prior order of February 12, 2002, dismissing the complaint without prejudice is supplemented by this order approving the attached Settlement Agreement and Mutual Release, including all the terms therein and dismissing the complaint with prejudice.

A handwritten signature in cursive script, reading "Frederick M. Dolan, Jr.", is positioned above the printed name.

Frederick M. Dolan, Jr.
Administrative Law Judge

**SETTLEMENT AGREEMENT
AND MUTUAL RELEASE**

This Settlement Agreement And Mutual Release ("Agreement") is between Cargo One, Inc. ("Cargo One") and COSCO Container Lines Company, Ltd. ("COSCO") hereinafter sometimes referred to collectively as "the parties;" and is dated _____, 2001.

WHEREAS, the parties are Complainant (Cargo One) and Respondent (COSCO) respectively in a reparations action pending before the Federal Maritime Commission as Docket No. 99-24 ("the Pending Case"); and

WHEREAS, this proceeding has already become protracted and expensive for both parties, and they desire to effect a commercial settlement in order to avoid additional litigation expense and with no admission of liability or wrongdoing; and

WHEREAS, the parties have reached the Agreement set forth herein;

NOW THEREFOR, the parties agree as follows:

1. COSCO will pay Cargo One the sum of Twenty-one Thousand Dollars (\$21,000.00).
2. The parties will jointly execute a motion to dismiss the Pending Case with prejudice.
3. The parties hereby mutually release each other and each other's parents, subsidiaries, affiliates, officers, directors and employees from any and all claim, cause of action or liabilities from the beginning of time to the date of the execution of this Agreement.
4. This Agreement is not an admission by COSCO that it has violated the Shipping Act. COSCO denies any such violation.
5. The parties agree that each has been advised by its own counsel as to the subject matter of this Agreement.
6. The parties represent that the signatories hereto have both actual and apparent authority to bind the party on whose behalf the signature is affixed.

In witness whereof, the parties hereby evidence their agreement by their signatures below.

Cargo One, Inc.

By: _____

Dated: _____

11/20/01

COSCO Container Lines Company, Ltd.

By: _____

Dated: _____

12/11/01